

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$122.94 ▲ 14.91%	12M Price Target \$145.00	52-Week Range \$63.52 – \$153.86	Market Cap \$110.53B
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HOOD: Analyst Upgrades Ignite Rally, But SCOTUS Case Looms

WHAT HAPPENED

- HOOD ripped +14.9% on nearly 2x normal volume — the trigger was a wave of analyst price target hikes across the Street. That's usually a lagging signal (analysts chasing the stock), but when it clusters like this it tends to bring in momentum funds and forces short covering, which is likely what juiced today's move.
- The Supreme Court just agreed to hear New Jersey's challenge to Kalshi's prediction markets — this is huge for HOOD because they've been building out their own prediction markets business. A win means a federally-regulated national market (bullish); a loss means every state can block them.

WHY IT MATTERS

Today's move is more than just analyst noise — it's the market pricing in a Trump-era regulatory posture that's been unusually friendly to both crypto and retail trading. The SCOTUS taking the Kalshi case is actually a *positive* signal near-term because if the Court sides with federal preemption (meaning federal CFTC rules override state gambling laws), HOOD gets a green light to roll out prediction markets nationally — a potentially massive new revenue stream. But here's the nuance: HOOD makes transaction revenue directly on crypto trades, so they're leveraged both ways to Bitcoin — when crypto rips, they print money; when it dumps, revenue evaporates fast. At 66% of the 52-week range with call option buying at 2.4x put volume, smart money is clearly leaning bullish into a Q4 catalyst calendar (SCOTUS, crypto legislation, possible index inclusion chatter).

POLICY & POLITICAL WATCH

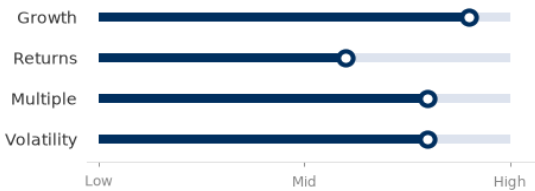
Two big things to watch: (1) The ****CLARITY Act and stablecoin legislation**** working through Congress — if these pass, they give crypto trading platforms like HOOD clear legal rules, which removes a huge overhang and likely brings institutions onto the platform. (2) The ****Kalshi SCOTUS case**** on prediction markets — oral arguments likely early 2027, but the market will front-run this. The Trump SEC under Atkins has already dropped the Gensler-era enforcement actions against crypto exchanges, which is why HOOD's crypto business is now a growth engine instead of a legal liability.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$122.94
12M Price Target	\$145.00
Upside / (Downside)	+17.9%
Market Cap	\$110.53B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,350M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	66.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$140.00	\$125.00	\$105.00
6 Months	\$165.00	\$140.00	\$95.00
1 Year	\$185.00	\$145.00	\$85.00
2 Years	\$240.00	\$175.00	\$70.00
5 Years	\$400.00	\$260.00	\$60.00
10 Years	\$700.00	\$400.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Financials (+1.31%) and Consumer Discretionary (+1.69%) — both benefit from a "risk-on" retail investor and the deregulatory Trump financial agenda. Crypto-adjacent fintech is the sweet spot right now.

COOLING OFF: Technology (-1.56% over 5 days) and Real Estate — rate expectations are getting messy, and mega-cap tech is digesting a big run. Nothing broken, just rotating.

ROTATION WATCH: Money is rotating from mega-cap tech into financials and fintech — investors are betting the next leg of the bull market is driven by deregulation and retail participation, not just AI capex. That's a direct tailwind for HOOD.

RELATED PLAY: If HOOD's prediction markets thesis works, look at CME Group (owns Kalshi-adjacent exposure) and Coinbase (COIN) as second-order beneficiaries of the same regulatory tailwinds.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-friendly policy wave and direct beneficiary of stablecoin legislation.
- IBKR (Interactive Brokers): Also up 4% today — sympathy move, but they don't have the same crypto/prediction market optionality.

HOOD CONTEXT: HOOD is *leading* the peer group today (+14.9% vs Webull +7%, IBKR +4%), which tells us the market is pricing HOOD-specific catalysts (prediction markets, crypto revenue mix) not just sector rotation. That's a bullish tell — but it also means HOOD has more to lose if any single catalyst disappoints.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table at \$123 after a 15% single-day rip; I'd rather buy the inevitable digestion.

POSITION SIZE: 2-4% of portfolio — the upside is real but the SCOTUS case and crypto beta make this too volatile to size aggressively.

ENTRY POINTS: Wait for a pullback to \$108-115 — big up days like today usually give some back within a week or two. Don't chase.

TIME HORIZON: 12-24 months, with the SCOTUS ruling and crypto legislation as the key catalysts.

WHEN TO BAIL: If Bitcoin breaks down 25%+ from current levels, if SCOTUS rules against Kalshi, or if quarterly DARTs drop meaningfully — any of those breaks the thesis.

HEDGING: Given the SCOTUS binary risk, consider buying a small put spread going into the ruling — cheap insurance. Or just size the position smaller so you can stomach a 30% drawdown without panicking.